

Japan: CPI Base-Year Revision: Jan-Jun 2026 Inflation Rate to be Revised Up, Likely to Exert Downward Pressure on Future Inflation Rates

BOTTOM LINE: This year marks the once-in-five-years base-year revision of the consumer price index (CPI), in which the weights of each item in the CPI will be reviewed, and the estimation methods for some price indices will also be changed. Accordingly, a retroactive revision of the CPI for January-June 2026 is scheduled for August 7. We expect slight upward revisions to both the core (excluding fresh foods) and new core (excluding fresh foods and energy) CPIs, but a degree of uncertainty remains as some price indices have not yet been released. We also note that this base-year revision is likely to exert downward pressure on our inflation forecasts for FY2026-27.

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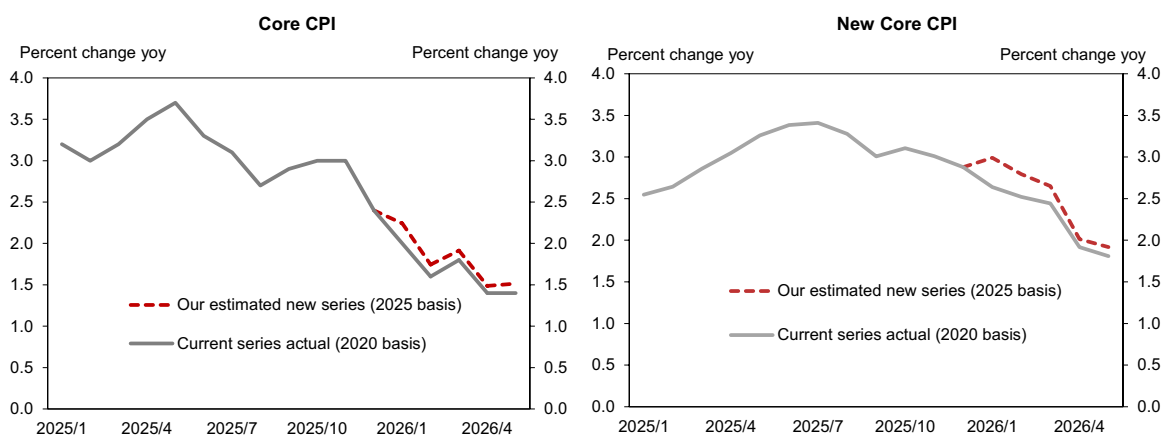
MAIN POINTS:

- The consumer price index is estimated by calculating a weighted average of the price indices of various items, based on the consumption patterns (weights) of average consumers. However, because consumer behavior changes over time, a “base-year revision” is conducted once every five years to update the “average consumption pattern.” For the current CPI series, the average consumption pattern for 2019-2020 has been used as the base, but from August onwards, the average consumption pattern for 2025 will become the new base.
- The revision to the 2025 base is scheduled for August 7, and the CPI for January-June 2026, estimated under the current (2020) base, will be retroactively revised (inflation rates up to December 2025 will not be revised). Exhibit 1 shows a comparison of the current and new core and new core CPI inflation rates estimated by us based on the new 2025 base consumption pattern released on July 10, which suggests that inflation rates for January-June 2026 are likely to be revised upward slightly under the new base.
- Two main factors contribute to this. First, because the weights of high school tuition, school lunches, and nursery school fees will decrease in the new base, the negative contribution from the free tuition, school lunches and childcare policies implemented since 2025 in the current CPI will shrink, pushing up the inflation rate. Second, because the weight of rice prices—which drove inflation from 2025 to early 2026—will be nearly doubled in the new 2025 basis, the inflation rate for January-March 2026 in particular will likely be revised upward significantly (from April onward, rice prices have turned into a negative contribution).
- However, it should be noted that the base-year revision involves not only changes to weights but also changes to the estimation methods for some price indices. Therefore, Exhibit 1 is merely a rough estimate at this stage, and a

degree of uncertainty remains.

- We note that this 2025 base-year revision is likely to exert downward pressure on the future inflation outlook. We have been expecting the lower rice prices to suppress future inflation, and the increase in the weight of rice in the new basis (from 0.62% to 1.01%) would magnify the negative contribution of the drop in rice prices. In addition, the decline in the weight of mobile phones (from 0.90% to 0.58%), for which potential price hikes have been reported from the second half of this year through the first half of next year, would likely reduce this positive contribution.
- A comparison of the weights of major CPI items is provided in [Exhibit 2](#).

Exhibit 1: Core and New Core CPI Inflation for January–June 2026 Could Be Revised Up at the August CPI Base Year Revision



Source: Ministry of Internal Affairs and Communications, Goldman Sachs Global Investment Research

Exhibit 2: Weights of CPI Main Categories

2025 New Basis vs. 2020 Current Basis (per 10000)

	National CPI			Tokyo CPI		
	New	Current	Chg	New	Current	Chg
Overall CPI	10000	10000	(+0)	10000	10000	(+0)
Core CPI (excl. fresh food)	9621	9604	(+17)	9621	9615	(+6)
New core CPI (excl. fresh food and energy)	8872	8892	(-20)	9162	9145	(+17)
Global core CPI (excl. food and energy)	6609	6781	(-172)	6959	7111	(-152)
Food and beverages	2754	2626	(+128)	2682	2529	(+153)
Fresh food	379	396	(-17)	379	385	(-6)
Food excluding fresh food	2375	2230	(+145)	2304	2144	(+160)
Rice	101	62	(+39)	74	48	(+26)
Eating out	491	434	(+57)	631	515	(+116)
School lunch	17	25	(-8)	1	19	(-18)
Housing	2182	2149	(+33)	2720	2760	(-40)
Housing rent	1861	1833	(+28)	2441	2454	(-13)
House rent, private	217	225	(-8)	383	391	(-8)
Imputed rent	1634	1580	(+54)	2048	2000	(+48)
Repairs & maintenance	321	316	(+5)	278	306	(-28)
Fuel, light and water charges	698	693	(+5)	506	555	(-49)
Electricity	376	341	(+35)	279	262	(+17)
Furniture and household utensils	372	387	(-15)	325	335	(-10)
Clothes and footwear	299	353	(-54)	314	375	(-61)
Medical care	466	477	(-11)	487	471	(+16)
Transportation and communication	1444	1493	(-49)	1008	1007	(+1)
Transportation	177	167	(+10)	273	235	(+38)
Mobile phone charges	231	271	(-40)	161	206	(-45)
Cellular phones	58	90	(-32)	40	69	(-29)
Eductaion	311	304	(+7)	413	465	(-52)
High school fees	24	56	(-32)	13	77	(-64)
College & university fees	160	121	(+39)	220	189	(+31)
Culture & Recreation	906	911	(-5)	1015	939	(+76)
Hotel charges	118	81	(+37)	191	100	(+91)
Miscellaneous	570	607	(-37)	532	564	(-32)
Nursery school fees	33	52	(-19)	41	54	(-13)
Regrouped						
Energy	749	712	(+37)	460	470	(-10)
Goods	5036	5046	(-10)	4297	4341	(-44)
Services	4964	4954	(+10)	5703	5659	(+44)
Public services	1079	1219	(-140)	992	1101	(-109)
General services	3886	3735	(+151)	4712	4557	(+155)

Source: Ministry of Internal Affairs and Communications, Data compiled by Goldman Sachs Global Investment Research

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